

31 July 2023

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Scottish Widows UK Equity Tracker I Acc

Fund Objective

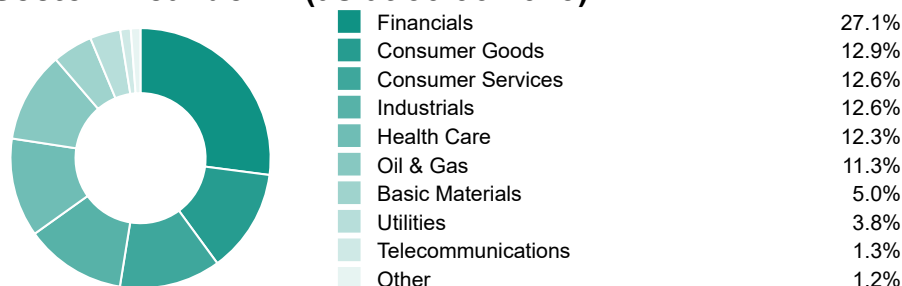
To track the performance of the UK equity market as represented by the FTSE All-Share Custom Screened Index (the "Benchmark Index"), before deduction of fees, by investing in UK shares. The Benchmark Index provides a representation of the returns of securities in the UK equity market with exclusions based on the ACD's screening criteria. For further information on this fund's policy and objectives, please refer to the Key Investor Information Document or the Prospectus. These documents can be accessed via the following links:

['KIID'](#)
['Prospectus'](#)
['Fund Changes'](#)

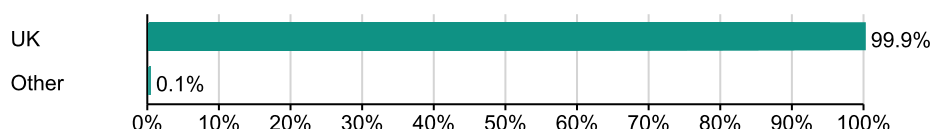
Asset Allocation (as at 30/06/2023)



Sector Breakdown (as at 30/06/2023)



Regional Breakdown (as at 30/06/2023)



The composition of asset mix and asset allocation may change at any time and exclude cash unless otherwise stated

This document is provided for the purpose of information only. This factsheet is intended for individuals who are familiar with investment terminology. Please contact your financial adviser if you need an explanation of the terms used. This material should not be relied upon as sufficient information to support an investment decision. The portfolio data on this factsheet is updated on a quarterly basis.

Information Statement

This fund was previously called the UK All Share Tracker Fund. On 7th March 2022 we replaced Aberdeen Asset Investments Limited with BlackRock Investment Management (UK) Limited as Investment Manager to this fund. From 28th March 2022 we excluded certain companies from the fund and the fund tracks a new benchmark index in order that it invests more responsibly. Please see Fund Changes link for more details.

Basic Fund Information

Fund Launch Date	02/03/1998
Fund Size	£3,829.9m
Benchmark	FTSE All Share Custom Screened
ISIN	GB0031905119
MEX ID	SWUKTA
SEDOL	3190511
Manager Name	EMEA Portfolio Engineering Team
Manager Since	07/03/2022
Yield	Historic 3.2%

Top Ten Holdings

(as at 30/06/2023)	
ASTRAZENECA PLC	7.7%
SHELL PLC	7.4%
HSBC HOLDINGS PLC	5.7%
UNILEVER PLC	4.7%
BP PLC	3.6%
DIAGEO PLC	3.4%
GLAXOSMITHKLINE	2.6%
RIO TINTO PLC	2.5%
RELX PLC	2.3%
RECKITT BENCKISER GROUP PLC	1.9%
TOTAL	41.8%

Past Performance



UK Equity Tracker

FTSE All Share Custom Screened

The index tracked by the Fund changed from FTSE All Share Index to FTSE All-Share Custom Screened Index. The index performance displayed shows the original index up to 28 March 2022 and the Custom Screened Index from 29 March 2022. The new index excludes certain companies in order that the Fund invests more responsibly.

The Fund is not in any way connected to or sponsored, endorsed, sold or promoted by the London Stock Exchange Group plc and its group undertakings (collectively, the "LSE Group"). The LSE Group does not accept any liability whatsoever to any person arising out of the use of the FTSE All-Share Custom Screened Index and FTSE All-Share Index, or the underlying data.

Past performance is not a guide to future performance. Investment value and income from it may fall as well as rise, as a result of market and currency movements. You may not get back the amount originally invested.

Discrete Performance

	30/06/2022 - 30/06/2023	30/06/2021 - 30/06/2022	30/06/2020 - 30/06/2021	30/06/2019 - 30/06/2020	30/06/2018 - 30/06/2019
Scottish Widows UK Equity Tracker I Acc	5.8%	2.0%	20.8%	-12.7%	0.8%
FTSE All Share Custom Screened	9.1%	1.1%	21.5%	-13.0%	0.6%

Information is shown as unavailable if prior to the launch of fund.

Cumulative Performance

	30/06/2023 - 31/07/2023	30/04/2023 - 31/07/2023	31/07/2022 - 31/07/2023	31/07/2020 - 31/07/2023	31/07/2018 - 31/07/2023
Scottish Widows UK Equity Tracker I Acc	3.2%	-0.5%	7.0%	38.9%	17.2%
FTSE All Share Custom Screened	2.5%	-0.9%	6.6%	42.4%	18.6%

Source: FE fundinfo as at 31/07/2023

Performance figures are in £ Sterling on a single pricing basis, with income (where applicable) reinvested net of UK tax and net of total annual fund charges. These figures do not include any initial charge or other product charge(s) that may be applicable.

Quarterly Fund Manager Review

UK equities declined over the second quarter as the Bank of England (BoE) continued to tighten monetary policy amid concerning levels of inflation. To the dismay of the BoE, UK headline inflation was stagnant in May at 8.7%, which was above forecasts and remained the highest in major developed markets. Meanwhile, the core inflation reading, which excludes food and energy, rose to 7.1%. In economic data, there were some signs of improvement, but this also threatened to add to inflationary pressures. Wage growth came in hot, at 6.5% in April, and consumer confidence rose for the fifth straight month in June. The CBI's indicator of manufacturing optimism also rose, as did the UK composite PMI, which showed an increase in services sector activity. With a combination of stubborn inflation and some strengthening in the economy – wage growth's potential to bake in higher inflation particularly concerning – the BoE raised interest rates twice over the quarter, by 25 basis points (bps) in May and by 50bps in June, taking the policy rate to 5.0%. This surprised the market as other major central banks had been reducing the magnitude/pace of rate rises. With forecasts UK rates could reach over 6.0%, expectations of higher rates for longer were priced in over the quarter, which pushed up bond yields, ten-year gilt yields soaring to levels last seen as a result of the infamous 'mini budget' of autumn 2022. The rising rate backdrop contributed to the strengthening of sterling against the US dollar, which negatively impacted companies with USD sales and further weighed on the natural resources sector. The UK market's relatively high weighting in natural resources was also a drag as commodity price movements were weak and the global equity rally continued to be led by mega-cap technology companies. Rising rate expectations also caused swap rates, which lenders use to price fixed rate mortgages, to rise; this depressed valuations of some areas of the domestic market such as home builders. The FTSE 100 index and the more domestic stocks in the FTSE All-Share index both declined over the quarter.

EMEA Portfolio Engineering Team 30/06/2023

The views, opinions and forecasts expressed in this document are those of the fund management house. Investment markets and conditions can change rapidly and as such the views expressed should not be taken as statements of fact, nor should reliance be placed on these views when making investment decisions.

Fund Rating Information

Overall Morningstar

Rating

Morningstar Medalist

Rating



FE fundinfo Crown

Rating

The FE fundinfo Crown Rating relates to this fund. However, the Morningstar ratings are based on the underlying fund. These are supplied by the respective independent ratings agencies and are the latest available at the time this factsheet was issued. Past performance is not a reliable indicator of future results.

Other Information

The views, opinions and forecasts expressed in this document are those of the fund manager. Investment markets and conditions can change rapidly and as such the views expressed should not be taken as statement of fact, nor should reliance be placed on these views when making investment decisions.

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Not all products have access to this fund, please refer to the relevant product literature. Full terms and conditions are available on request from us using the contact details provided. Charges, terms and the selection of funds we make available may change. Information on the general and specific risks associated with investing in this fund is available in the relevant fund guide, or KIID where applicable. All information is sourced from Scottish Widows or the relevant fund management group unless otherwise stated.